Sales Forecasting

Exam code: 9BS0

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Updated on 1 September 2025

The purpose of sales forecasts

- Sales forecasts **predict future revenues** based on past sales figures
- They commonly focus on what will happen **in the future** to:
  - The volume and value of sales
  - The size of the market
  - Sales as a result of promotional activity
  - Sales as a result of cyclical factors
- Sales forecasts are an important tool to **support planning** and can improve the **validity** of **cash flow forecasts**
- Businesses use sales forecasts to **determine resource requirements** in a variety of ways, including:
  - How many staff will be needed?
  - How much stock will be required?
  - Does **capacity** need to be expanded (or reduced)?
  - Does the equipment need to be upgraded, replaced or increased (or reduced)?
  - How much and **what type of finance** will be required?
  - Is **promotional activity** (e.g. advertising) required — and when?

Factors affecting sales forecasts

- Developing **accurate sales forecasts** is a skill that requires an understanding of several factors that can influence the reliability of the forecast

Consumer trends

- **Seasonal variations**
  - Demand for certain goods is seasonal
  - Events such as **major religious festivals, holiday periods and annual events** impact demand for a wide range of products
    - For example, sales of basic homewares increase when students start university each September
- **Fashion**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

appeared in September 2021 at a star-studded event in a Boohoo dress, the company's sales unexpectedly soared by more than 400% during that month

- **Long-term trends**
  - Consumer behaviour, attitudes and spending habits **change over time**
    - In recent years, environmentally conscious consumers have led many businesses to amend sales forecasts to reflect increased demand for green products
    - For example, in late 2022, vehicle manufacturer Ford increased its sales forecasts for electric vehicles by almost 70%

Economic variables

- **Economic growth**
  - During periods of **economic growth**, **increased consumer incomes** will lead to higher-than-forecast sales
  - The opposite will occur during periods of **economic slowdown**, and sales may be lower than forecast

- **Inflation**
  - The general increase in prices over time **reduces consumers' spending power**
    - Firms may revise their sales forecasts downwards during periods of rising inflation
    - Firms may revise their sales forecasts upwards during periods of falling inflation

- **Unemployment**
  - Increased levels of unemployment are often experienced during periods of **recession** and tend to be a key cause of **reduced spending in the economy**
    - Sales forecasts for **lifestyle** and luxury goods may reduce as consumers focus their spending on essentials

- **Interest rates**
  - When **interest rates** rise, borrowing becomes **more expensive for consumers**
  - Businesses that sell products that consumers frequently buy on **credit** may therefore adjust their sales forecasts downwards
    - For example, property sales are set to drop to 1.01bn in 2023 from 1.27bn in 2022, causing many estate agencies to adjust their sales forecasts downwards

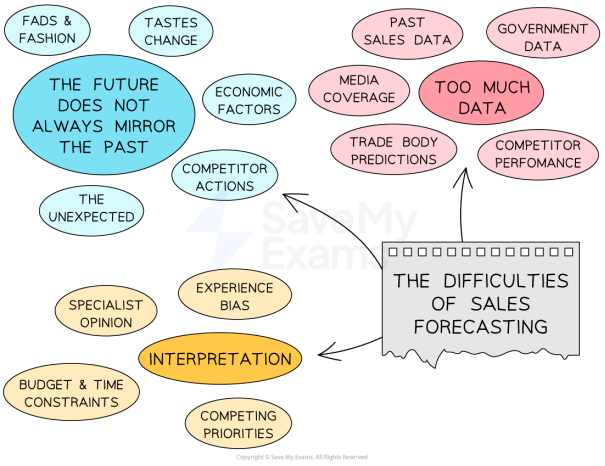
- **Exchange rates**
  - When the value of the UK pound sterling falls against other global currencies, overseas consumers will find that British **exports** become relatively cheaper
  - Businesses that sell products overseas or that **cater to tourists** visiting the UK may adjust their sales forecasts upwards to reflect the expected increase in demand **from a cheaper sterling**
    - For example, Visit Britain expects the number of tourists entering Britain in 2023 to be 14% higher

- Sales forecasts should consider the **short-term actions of competitors**, such as **sales promotions**, as well as longer-term strategies, such as **changes to product ranges** and expansion plans
- Competitor actions are difficult to predict, so the usefulness of past data to predict future sales may be limited
  - For example, Marks & Spencer announced plans to open 20 new high street stores in 2023, partly in response to the closure of several key competitors, including Debenhams

Difficulties of sales forecasting

- Sales forecasting usually involves **the use of past data** to predict the future
- In the short term, sales forecasts are likely to reflect the recent past
- Longer-term sales forecasting is often more problematic, as **several factors affect its reliability**

The main difficulties of sales forecasting



The difficulties of sales forecasting include interpretation, too much data and the fact that the future does not always mirror the past

- Effective sales forecasting requires **skill, time and the accurate use of timely data**
  - Smaller businesses in particular may **lack the experience or specialised personnel** to construct, analyse and interpret sales forecasts
    - It is difficult to avoid **experience bias** (e.g. opinions of the future based on experiences in the past)
    - Businesses may face problems in constructing sales forecasts that ignore the priorities of key **stakeholders**

such as fashions, trends and the actions of competitors

- There is a significant amount of data available for businesses to consider when constructing sales forecasts
  - Internal data, such as **previous sales figures**, will be a key source of information when constructing forecasts
  - Selecting the most appropriate external data to support sales forecasts is extremely challenging and requires careful evaluation

Examiner Tips and Tricks

While sales forecasting as a planning tool has several potential uses for a business, you should carefully consider how a sales forecast is constructed when evaluating its usefulness.

- Who is responsible for the sales forecast?
- Which data is used in its construction?
- How reliable or accurate are the data sources underpinning the forecast?

You may even conclude that no sales forecasting is better than a poorly constructed, biased attempt!

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